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China Battery Materials

What's New at 2026 China ESS and Battery Chain Tour: Meeting with Lithium Expert

CITI'S TAKE

We hosted the 2026 China ESS and Battery Chain Tour and met with Ms. Bonnie Song, an independent trader/lithium expert, on 13th Jul. In 2027E, global lithium demand is expected to increase 400-450kt YoY and supply is expected to increase 340kt YoY, mainly from Australia, recycling lithium, Argentina, JXW mine, etc. Therefore, Ms. Song is positive on lithium price in 2027E. However, if the Zimbabwe export ban is released, 2027E global lithium supply could increase 70kt compared with base case. Key takeaways are as follows.

Lithium concentrate – The lithium concentrate inventory at domestic ports was 327kt on 10th Jul, down 39kt WoW, driven by strong demand. The concentrate inventory days at refinery is 1-3 months. The lithium concentrate imported from Zimbabwe is expected to arrive starting from Jul and fully resume in Sep-Oct. To encourage domestic lithium refinery, Zimbabwe will ban concentrate export from Jan 2027 and Ms. Song expects only Huayou's lithium refinery plant to be ready by then, while other producers are negotiating with the govt to potentially extend the deadline to mid-2027.

Lithium refinery – The lithium refineries are positive on lithium price and not active in spot sales while mainly fulfilling long-term contracts. The LC inventory at traders is low currently. The cathode producers will restock in Aug.

Cathode – The LFP cathode demand is strong and new capacity of LFP cathode will ramp up in 2H26E. The LFP cathode orders are expected to increase 20% QoQ in 3Q26E while the output may be lower QoQ in 4Q26E considering maintenance work.

Lithium supply and demand – In 2027E, global lithium demand is expected to increase 400-450kt YoY and supply is expected to increase 340kt YoY, mainly from Australia, recycling lithium, Argentina, JXW mine, etc. Therefore, Ms. Song is positive on lithium price in 2027E. However, if the Zimbabwe export ban released, 2027E global lithium supply will increase 70kt compared with base case.

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